Added to all this were India's economic troubles that reached a climax around the time that Rao took charge. The disintegration of the Soviet Union meant that India's main supplier of military equipment – Soviet Union – was in too much disarray to be able to help. The end of the cold war marked the unipolar moment with the United States as the world's sole superpower. After decades of criticizing the West and invoking non-alignment to seek benefits from two contending blocs, India now had to find a way to rebuild ties with Western nations, especially the United States.

In some ways, Rao had an opportunity similar to Nehru's, to define India's direction for years to come. He initiated policies that continued under his successors, irrespective of their political affiliations. According to Dixit, Rao provided 'the required equilibrium' that India's foreign policy needed in the post-cold- war era.[132] Economic reforms constituted a key component of Rao's strategy. Realizing the importance of economic reforms, Rao provided the political support for his finance minister, Manmohan Singh, to implement a series of market-friendly restructurings that helped India move away from its mixed socialistic economy towards a liberal free market.

As early as 1947 Nehru had stated that talk of security was futile without economic strength. However, his successors focused more on the non-economic levers of hard power. With a massive population, India could have attracted foreign direct investment with the promise of access to its large domestic market. It could have become globally influential as the destination and source of investment, as a trading nation and as an innovator in various fields of technology. Instead, India chose to be the voice of the world's poor while seeking economic self-sufficiency and a government-led economy. The reforms of 1991 finally forced Indian leaders to understand that unless they changed their economic model and focused on building India's economic prowess, India faced being marginalized and sidelined by global transformations.